

The complaint

Mr C complains Barclays Bank UK PLC (“Barclays”) hasn’t offered him a refund of funds he says he lost to a scam.

What happened

The circumstances that led to this complaint are well known to both parties so I won’t repeat them all in detail again here. However, in summary, Mr C says he’s been the victim of a scam. He was looking to for a company to complete a loft conversion on his home when he found a building company online. He contacted the company who provided him with a quote for the works amounting to £12,494.66. The building company told Mr C he could pay for the work in instalments but he would need to pay the total cost upfront. So, between June and August 2025, Mr C made four payments to the building company’s account. The payments ranged from £1,718.16 to £3,997.58. The account details were provided to Mr C via invoice. However, when the work was due to start in August 2025, the builders did not arrive and Mr C hasn’t been able to get in touch with them since.

Mr C contacted Barclays to say he’d been the victim of a scam and to ask for a refund of the amount lost. Barclays didn’t agree to offer Mr C a refund. It said it didn’t think he had been the victim of an APP scam.

Mr C disagreed. He said Barclays should offer him a refund under The APP Scam Reimbursement Rules. So, he brought his complaint to this service and one of our investigators looked into things.

The investigator didn’t uphold the complaint. They said they weren’t persuaded Mr C had been the victim of a scam either so they didn’t recommend Barclays refund him the amount lost now.

Unhappy with the investigators outcome, Mr C asked for his case to be reviewed by an ombudsman and so the case was passed to me to decide.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

Having reviewed the evidence provided to me, I agree with the outcome reached by our investigator, for largely the same reasons, and I won’t be upholding this complaint. I’ll explain why in more detail below:

The APP Scam Reimbursement Rules

The Payment Systems Regulator introduced the APP Scam Reimbursement (“ASR”) rules on 7 October 2024 to reimburse consumers who are the victims of APP scams in certain circumstances. So, for me to say Mr C’s payments are covered by the rules, I’d firstly need to be persuaded that he has been the victim of an APP scam. However, in the particular circumstances of this complaint, I’m not persuaded that this is most likely what happened. It therefore follows that I’m not persuaded that the above rules apply to Mr C’s payments. When reaching this conclusion, I have taken the following into account:

- I haven’t been provided with any documentary evidence that supports Mr C paid for work that wasn’t completed – I haven’t seen any evidence of any conversations that took place between Mr C and the building firm. This means I haven’t seen anything that sufficiently demonstrates Mr C was in touch with a building company who failed to show up after he paid them for work upfront. In cases such as this, I would expect to see some evidence that Mr C had been trying to get in touch with the company to ask what had gone wrong and to get his money back. I understand that Mr C says he’s unable to provide the messages shared between him and the building company because they have been deleted. However, this now means I have no contemporaneous evidence that supports he has fallen victim to an APP scam.
- I’m not persuaded that Mr C would agree to pay for the full cost of the work before the work began or without meeting anyone from the company in person. Building work of this nature is not usually paid for in advance and it is not usually paid for in full until after the work has been completed to the agreed standard.
- Mr C does not own the property the work was supposed to be completed on. He is resident there as a tenant. He’s also said he didn’t ask his landlord for permission to complete the works. Mr C has told this service that he borrowed some of the money required from his girlfriend and her cousin. I’m not persuaded that a private tenant would borrow money in order to carry out significant renovation works on a property they don’t own. I’m also not persuaded that renovation work of this nature could be carried out legitimately without the landlord’s express permission.
- I think it’s unlikely that a quote of this nature could’ve been provided to Mr C without a site visit being completed first which Mr C says didn’t take place. I’m also not persuaded that the quote is reflective of the nature and extent of the works agreed.
- Mr C has not reported what happened to him to the Police.
- Barclays contacted Mr C about the first payment and when questioned, Mr C told Barclays that all of the agreed work had already been carried out and completed which is different to what he is now saying to this service.

For the reasons set out above, I am not persuaded that Mr C has been the victim of an APP scam. Generally, in cases such as this, I would expect to see some evidence of the conversations that took place between the customer and the builder. I also wouldn’t expect this type of work to be paid for upfront or to be conducted by a tenant without permission from their landlord. So, taking into account the very limited information I have available to me, there simply isn’t enough for me to fairly and reasonably say Mr C has been the victim of an APP scam or that Barclays should refund him now.

As Barclays didn’t need to consider this as an APP scam then it didn’t need to go on to contact the recipient account provider. Barclays did speak with Mr C about the first payment and he confirmed all work had been completed. So, I’m not persuaded Barclays could or ought to have known that Mr C would end up suffering a loss here. I’ve seen no other reason to recommend Barclays offer Mr C a refund of the amount he says he lost now.

Overall, I’m satisfied Barclays correctly considered Mr C’s claim and I won’t be asking it do anything further.

My final decision

My final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr C to accept or reject my decision before 7 April 2026.

Emly Hanley Hayes
Ombudsman